

STEP FOUR: MAY THE BEST LENDER WIN

In the past, every time a prospective buyer asked a lender to offer rates, they would run that buyer's credit score—which means the credit score would take a hit. This encouraged buyers to speak with only one or two lenders, especially if they were starting with an already wobbly credit score.

Fortunately, this has changed. Now you can contact multiple lenders in a short period of time for what is considered “rate shopping.” As long as they do so within a thirty-day window, multiple lenders can pull your credit and it counts as one hard credit inquiry. This means there's only one ding to your credit, and this single ding should only cost you five or ten credit points.

Make a plan to contact multiple lenders within this thirty-day window. Reach out to a variety: local credit unions, small local banks, large national chains, and mortgage brokers. With each lender, you'll fill out a mortgage application that includes all your financial information as well as what type of loan you would like to apply for. (See, we told you that last chapter would come in handy!) They will pull your credit score and you'll get a real estimate of your mortgage rate.

After you submit everything they request, the lender is required by law to provide a loan estimate within three business days. This estimate will outline all the loan's information, including projected monthly payments with a breakdown of PITI, the maximum loan amount, and estimated closing costs and lender fees.

From here, you should make a list or spreadsheet to compare apples to apples. (No need to reinvent the wheel—you can use the one we've shared at www.biggerpockets.com/homebuyerbonus.) On each line, include the lender's name, the loan's predicted interest rate, total closing costs, lender fees, any credits they might give you, the maximum amount they'll lend, your estimated total monthly payment, and anything else that is pertinent to your choice. With this information all in one place, you'll get a clearer picture of how the lenders stack up.

Which loan is the best may not be obvious immediately, and the lowest monthly payment may not always be the winner. You might notice that one lender doesn't account for certain things like lender fees when they give you an estimate, which will unfairly skew the numbers in their favor. That's